

BASED ON THE PAPER

Grant Selection Design and Start-Up Innovation

Evidence from Design-Dependent Subsidy Effects

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Curriculum Vitae

▶ School

Sidcot Independent School England	2012–2014
International Baccalaureate	

▶ University

Technical University of Munich B.Sc. Technology and Management	2014–2020
Technical University of Munich M.Sc. Technology and Management	2020–2024

▶ Professional Experience

ColInvest Corporate Finance Analyst	2021–2024
agentix GmbH Co-Founder & COO	2024–2025
Independent Management Consultant	2024–present

Research Question

How can you improve investments into Start-Ups and SMEs through legislative change of Investment Modalities?

- ▶ AI at the forefront of Innovation
- ▶ *“Automating Cognitive Workflows”*
- ▶ Recipient of EXIST Grant

Do the signals used to select firms generate the value public funding is meant to create?

- ▶ Which observable signals enter the funding decision?
- ▶ Do these signals predict innovation, spillovers, and economic value?
- ▶ Do programmes weight signals differently when they define value differently?

The project separates the **selection mechanism** from the grant itself.

Theoretical framework: selection signals as policy instruments

The project treats selection signals as **proxies for expected public value**.

Policy objective → Selection signals → Funding decision → Outcome layers

- ▶ Programmes define value differently: innovation, spillovers, or local economic value.
- ▶ Granting authorities translate these objectives into signal weights.
- ▶ The empirical question is whether these weights predict the outcomes they are meant to generate.

The grant is therefore not the only treatment; the selection rule is part of the mechanism.

Empirical framework

- ▶ **Unit:** enterprise–application or enterprise–programme observation
- ▶ **Population:** SMEs applying or eligible for innovation support
- ▶ **Variation:** scoring rules, thresholds, grant amounts, programme design
- ▶ **Comparison:** firms close to allocation margins, or comparable firms over time

The empirical design depends on data access, but the estimand must stay narrow.

Research Proposal: Data and Methodology

Data Sources

- ▶ Programme documents, scoring rubrics, beneficiary lists (EU transparency mandate)
- ▶ CORDA / ORBIS — applicant-level award data
- ▶ EPO / Patstat — patent records
- ▶ Business registers & regional employment data
- ▶ EIC Accelerator score-level data

Identification Strategy

- ▶ **Preferred:** Regression discontinuity at score / budget cut-offs (Imbens & Lemieux, 2008)
- ▶ **Alternative:** DiD / event study across calls, regions, countries (Callaway & Sant'Anna, 2021)
- ▶ **Threats:** Self-selection into application, score manipulation near cut-offs, survivorship bias

Expected Contribution

- ▶ **Empirical:** estimate whether selection signals generate the outcomes used to justify public support.
- ▶ **Conceptual:** separate the effect of receiving a grant from the design of the rules that allocate grants.
- ▶ **Policy-relevant:** identify where programme objectives and actual selection practice diverge.
- ▶ **PhD logic:** the project can begin as one empirical paper on grant selection design and develop into a broader research agenda on innovation policy.

Backup: Data Sources

- ▶ Programme documents, eligibility criteria, scoring rubrics and beneficiary lists.
- ▶ Applicant-level award data from CORDA / ORBIS where accessible.
- ▶ Patent data from EPO / PATSTAT.
- ▶ Firm accounts, business registers and regional employment data.
- ▶ Score-level data from programmes such as the EIC Accelerator where available.

Backup: Identification Risks

- ▶ Self-selection into application.
- ▶ Score manipulation near cut-offs.
- ▶ Missing or incomplete score-level data.
- ▶ Survivorship bias in firm-level outcomes.
- ▶ Outcome correlation across innovation, spillover and economic-value layers.